

Quant Analyst Assignment

Submitted by: Jyoti Kohli

Sector Analysis of Indian IT Companies

Companies selected

- Tata consultancy services
- Infosys
- Wipro

1. Introduction

This analysis focuses on the Indian IT sector using historical stock price data from TCS, Infosys, and Wipro. The objective was to identify key patterns in stock price movement, trading activity, and short-term market behavior using approximately one year of historical stock data collected from Investing.com .

2. Data Collection

Historical stock price data was collected from for:

TCS.NS

INFY.NS

WIPRO.NS

The datasets included:

Date

Closing Price

Volume

Daily Percentage Change

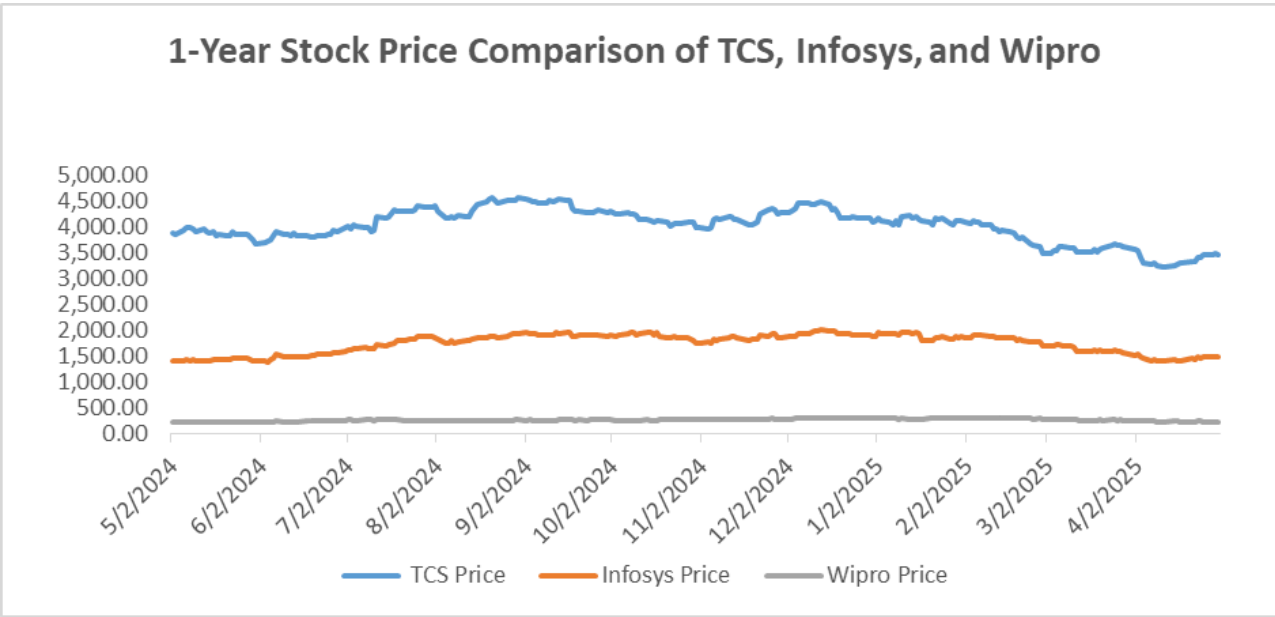
Approximately one year of trading data was analyzed for each company.

3. Key Observations & Insights

Insight 1 – TCS showed the most stable price movement

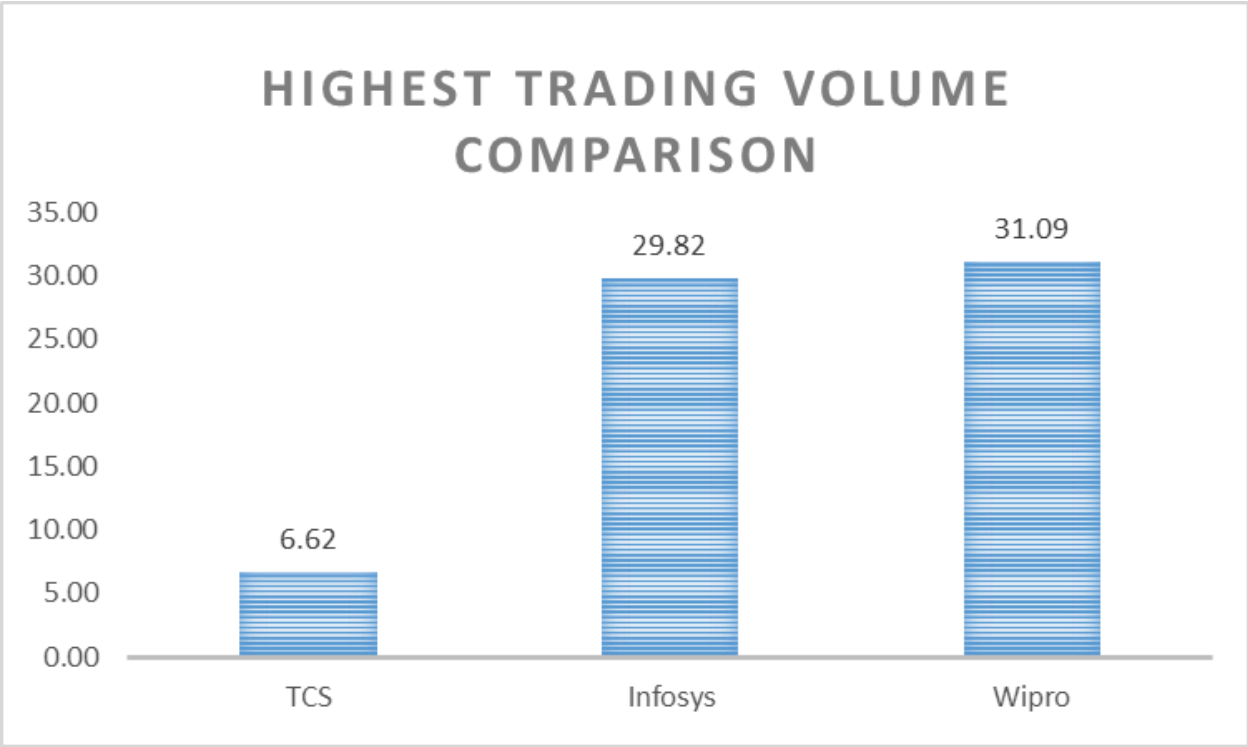
Among the three companies, TCS showed relatively smoother and more consistent stock price movement. Although some short-term fluctuations were observed, the stock overall appeared less volatile compared to Infosys and Wipro.

This may indicate relatively stronger investor confidence and lower short-term uncertainty.



Insight 2 – Infosys showed higher short-term volatility
Infosys experienced more noticeable short-term fluctuations and quick recoveries during several periods. This suggests stronger short-term market reactions and comparatively higher volatility. For example, the stock price declined sharply in early April 2025 before recovering quickly over the following trading sessions. This pattern may indicate higher short-term risk as well as potential trading opportunities.

Insight 3 – Wipro recorded the highest trading activity
Wipro showed the highest trading volume spike among the three companies, indicating increased investor participation and market attention during certain periods. Despite high trading activity, the stock price movement remained comparatively moderate.



4. Trading / Risk Idea

- Only one year of historical data was analyzed.
- Stock prices are influenced by external factors.
- High trading volume does not always guarantee future price movement.
- Sector-wide events may affect all three companies similarly.

5. How the Idea Can Be Tested

The idea can be tested by identifying days with unusually high trading volume and significant price movement, then observing stock performance over the next few trading days.

If similar patterns repeatedly lead to continued momentum or reversals, the approach may be useful for short-term market analysis.

6. Risks & Limitations

Only one year of historical data was analyzed.

Stock prices are influenced by external factors such as news, earnings reports, economic conditions, and investor sentiment.

High trading volume does not always guarantee future price movement.

Since all three companies belong to the IT sector, sector-wide events may affect all stocks similarly.

7. AI Usage Disclosure

AI tools were used to assist with structuring the analysis, refining explanations, and organizing the final report. Historical stock data was manually downloaded and reviewed by me from Investing.com . The observations, comparisons, and final conclusions were verified and understood by me before submission.